

Q1 2021 Earnings Call

Company Participants

- Cameron Donahue, Investor Relations
- Edwin F. Negrón-Carballo, Chief Financial Officer
- John Fieldly, President, Chief Executive Officer & Director

Other Participants

- Anthony Vendetti, Analyst, Maxim Group
- Jeff Van Sinderen, Analyst, B. Riley & Co.
- Jeffrey S. Cohen, Analyst, Ladenburg Thalmann & Co. Inc.
- Kamal Shethwala, Analyst, Credit Suisse

Presentation

Operator

Greetings, and welcome to Celsius Holdings First Quarter Earnings Call. At this time, all participants are in a listen-only mode. A question-and-answer session will follow the formal presentation. (Operator Instructions) As a reminder, this conference is being recorded.

It is now my pleasure to introduce your host, Cameron Donahue, Investor Relations for Celsius. Thank you. You may begin.

Cameron Donahue {BIO 16529132 <GO>}

Thank you, and good morning, everyone.

We appreciate you joining us today for Celsius Holdings First Quarter 2021 Earnings Conference Call. Joining me on the call today are John Fieldly, President and Chief Executive Officer; and Edwin Negrón, Chief Financial Officer. Following the prepared remarks, we'll open the call to your questions and instructions will be given at that time. The company filed its Form 10-Q with the SEC and released a press release pre-market today. All materials are available on the company's website, celsiusholdingsinc.com, under the Investor Relations section. As a reminder, before I turn the call over to John, an audio replay will be available later today.

Please also be aware that this call may contain forward-looking statements, which are based on forecasts, expectations and other information available to management as of May 13, 2021. These statements involve numerous risks and uncertainties, including many that are beyond the company's control. Except to the extent as

required by applicable law, Celsius Holdings undertakes no obligations and disclaims any duty to update any of these forward-looking statements. We encourage you to review in full our safe harbor statements contained in today's press release and our quarterly filings with the SEC for additional information.

With that, I'll turn the call to the President and Chief Executive Officer, John Fieldly, for his prepared remarks. John?

John Fieldly {BIO 17560616 <GO>}

Thank you, Cameron. Good morning, everyone, and thank you for joining us today.

The company achieved a record first quarter exceeding \$50 million in sales, which were derived by over 100% growth in North America sales from continued strong demand for our portfolio and a 25% growth in international sales. International sales growth was primarily derived from a 22% growth from our Nordic operations.

Even with the record quarter, we are still dealing with the impacts of COVID-19 in several channels, international markets and experiencing increased costs from raw materials and transportation. Channels of trade we operate in and which we continue to see these effects include our health and fitness, vending, foodservice, as well as reduced foot traffic in several additional channels. However, we are starting to see improvements through the first quarter, but still not fully normalized. In addition, our EU, Middle East, Southeast Asia and Australia operations remained adversely affected by COVID-19 pandemic, while we have started to see sequential improvements over the last few quarters, with capacity restrictions as well as reopenings in hardest hit channels. There remains uncertainty as there potential could be reclosings due to case increases in our regions of operations look at force extended closures in some states and countries.

The health and safety of our employees and partners remains our top priority. And the precautions have been implemented, which we have developed and adopted in line with guidance from public health authorities. In addition to increases in transportation costs, we are experiencing another COVID impact. It is an aluminum can shortage which has impacted the entire industry. The large can manufacturers in the US have initiated major expansion projects, which we expect to be completion time somewhere starting in the back half of 2021 and potentially through 2022 and 2023. Celsius immediately implemented contingency plans last fall by sourcing cans internationally. We received our first orders in March of 2021. The company anticipates 50% of can supply for 2021 will be derived from imported and wrapped cans, which should decrease in late 2021 and through 2022 as more US capacity comes online.

In the first quarter, we saw a higher proportion of wrapped cans versus imported cans, but expect that mix to change to a higher proportion of imported cans going forward. Wrapped cans have a higher cost, so that represents a slight margin improvement going forward with the change in mix. In addition, the team is expanding warehouse distribution sites, implementing contingency plans to further

source raw materials with minimum floor stock programs, blanket purchase orders, second and third supplier alternatives. The team continue to quickly adapt to the new COVID environment and are focused on driving efficiencies and operational performance.

As outlined in our last call, this will impact the gross profit margins by a few points, but we remain confident that the company will run at approximately in the low-40% gross profit range through 2021, which is right in line with our first quarter results. We continue to explore additional opportunities as they may become available to shorten the duration Celsius is impacted by the can shortage and there is potential for improvement in the back end of this year.

In addition, the company is optimizing its promotional architecture and strategies partially mitigating these inflationary increases in raw materials and transportation. The company remains generally available throughout the quarter, but did experience shipping delays because of can shortages, as well as the Texas freeze, which shut down to co-packers and one of our warehouses for over 2.5 weeks during the quarter, but they have been fully back online at the end of the first quarter.

On the convenience channel side in North America, which represents the largest energy drink market in the country, with over \$9 billion in annual sales. The latest SPINS data shows a 77% year-over-year increase for Celsius product portfolio in the convenience channel compared to 7.5% overall in the energy drink category, while we're holding a 16.8% ACV. We've added over 13,500 convenience stores to the last 12 months, with additional accounts expected through spring resets. In addition, we recently achieved the second highest dollar growth in the category when compared to the top 10 energy drink competitors, according to SPINS shelf data energy and functional beverages convenience 12 weeks ending March 21, 2021. Our first new spring reset win began in late March with the national launch of Murphy USA in 1,500 locations, which will initially be serviced approximately 80% of stores will be serviced by DSD with six flavors authorized.

Industry-backed third-party data continued to show accelerating growth and metrics, and we are confident that the Celsius portfolio will continue to drive sales even higher as we further increase our ACV in the channel through additional launches with national chains and transitioning existing accounts to our DSD network. Consumer demand for Celsius has grown even stronger through 2021, with the most recent reported Nielsen scan data as of April 24, 2021, showing Celsius sales were up 218% year-over-year for the two week period, 220.3% for the four week period and 151.4% for the 12 week period as well as an 88.6% for the 52-week period with achieving a 1.2% share in the last four weeks. The next highest comp for the most recent two week data was Red Bull, which grew at a 29% and 37.2% for the two and four week timeframe.

In our e-com channel, according to Stackline, which tracks energy drink sales on Amazon in the United States for the four weeks ending April 17, 2021, sales in dollars in the energy drink category by Amazon including energy shots grew at 160.1%

growth the same period a year ago. Celsius sales increased 265% and our share increased by 4.5 points to 15.5% share of the category, which puts Celsius as the second largest energy drink brand on Amazon, behind Monster Energy at a 35.6% share and now above Red Bull, which is at a 13.7% share.

We continue to see acceleration through all channels of trade and are now beginning to see the additional lift from the conversion of accounts to our DSD network. Additionally, we secured additional distribution agreements with key partners, further expanding availability to new regions as Celsius builds out its national distribution network, which now includes over 180 regional direct store delivery DSD partners and distribution centers, covering approximately 85% of major metropolitan markets. Recent additions have predominantly been filling distribution gaps outside of the major metropolitan markets. Transition in DSD continues with Target, CVS, Walmart, Racetrack, 7-Eleven and others with additional regions and retail partners plan to transition to DSD throughout 2021.

Today in the United States, our total door count now exceeds 92,000 locations nationally, up approximately 10,000 locations since the beginning of 2021. We expect this number to grow even further in the coming quarters as retailers execute their planogram resets, which were delayed due to COVID-19 pandemic. On our co-packing front, we continue to expand our partners and scale at existing locations, improving line time priority. Our total US co-packer footprint is now eight locations that are active, which will help protect the future of out-of-stocks and support our massive growth.

In Europe, we further integrated and leveraged synergistic benefits from the acquisition of Func Food, a Nordic wellness company that was immediately accretive to earnings and is an important step in our strategy in building out global dominant brand. Europe operations were impacted by COVID and additional lockdowns in the first quarter, which were largely impacted by the FAST protein snack portfolio, which was partially offset by growth in sales in Celsius in the region, we continue to see great opportunities and momentum in these markets. We continue to evaluate additional European expansion, primarily in the UK and Germany in addition to working with Amazon Europe to further expand our e-commerce opportunities throughout Europe.

In China, we maintain a licensing royalty model in the market, where our distributor covers approximately 76 cities and serves approximately over 60,000 locations of distribution. Our other international markets have started to pick up backed up off a small base. Australia sales resumed through our distribution partner in the market. And in Malaysia, we maintain a direct relationship with the local distributor, we maintain approximately 2,000 retail locations with plans to reenter gyms, vitamin specialty locations, additional retail partners as the recovery continues. As with Europe and the United States, we see significant opportunity to capitalize on a global scale, reflecting the changes in consumer preferences for better for you offerings in the enormous market of Asia.

Now moving on to marketing. On the marketing front, we continue to activate target new consumers and existing consumers where they live, work and play being leading meaningful connections and emotional connections through robust integrated marketing programs, even while consumers are at home. Specifically during the quarter, despite COVID-19 restrictions, we sponsored targeted events both in person and in virtual and sampled thousands of cans in hands during the quarter in key markets that were open. And we continue to support our first responders, nurses, doctors, COVID testing sites and reactivated the Live Fit Tour, which is an integrated experiential sampling tour. And we further leveraged and build out our brand ambassador program, influencer program reaching more consumers in a meaningful way.

Our momentum is accelerating, our brand is resonating with a diverse consumer base, expanding the category demographics. Health and wellness is beyond a trend. Functional energy is recognized throughout the industry as a driver of future growth with retailers. We hit not only a record for sales in North America, but we also achieved a record growth rate of 100% with third party data reporting continued acceleration in the second quarter. Our national DSD network is in place and only at the forefront of recognizing the incremental growth, we will drive. Our team is ready, our infrastructure is in place to support our growth, and we expect to continue to grab market share on an expedited scale.

I will now turn the call over to Edwin Negron-Carballo, our Chief Financial Officer, for his prepared remarks. Edwin?

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you, John.

Before I review the financial results, I wanted to first provide some background on the amended 10-K for fiscal year 2019 that we also filed this morning. The amendment relates to management's evaluation of internal controls, specifically disclosure controls that pertain to the October 2019 acquisition of the European business. Acquiring companies have one year post acquisition to perform a thorough review over the effectiveness of internal controls of the acquired business. We have since performed review with the assistance of a reputable international CPA firm and found the controls to be effective. These are technical matters, which were not fully addressed per SEC requirements regarding acquisition disclosures and have been updated in the amended 10-K.

As it relates to Celsius, these matters are inconsequential as it relates to our financial reporting. As such, there is no impact to the reported figures or any other footnotes or any of the additional disclosures. We wanted to provide the investment community this details of the amended 2019 10-K so that there is no misunderstanding and it's clear that there is no impact regarding the reported figures and no impact regarding our operating and standard internal controls over financial reporting.

Now to review the financial results for the first quarter. Our first quarter revenue for the three months ended March 31, 2021, was \$50 million, an increase of \$21 million or 78% from \$28.2 million for the three months ended March 31, 2020. Approximately 90% of this growth was a result of increased revenues from North America where 2020 revenues were \$19.4 million, which translates to an increase of \$19.6 million or 101% from the prior year quarter. The balance of the increase was mainly related to a 22% growth in European revenues. As such, the first quarter 2021 European revenues amounted to \$10.4 million, an increase of \$1.9 million from \$8.5 million for the prior year. In addition, our European revenue reflected a sequential increase of 50% for the first quarter of 2021 when compared to \$6.9 million in the fourth quarter of 2020.

Asian revenues, which mainly consist of royalty revenues from our China licensee, amounted \$536,000 for the three months ended March 31, 2021, an increase of 100% from \$268,000 for the prior year quarter. Other international markets generated \$128,000 of revenue during the three months ended March 31, 2021, an increase of \$71,000 from \$57,000 from the prior year quarter. The total increase in revenue was primarily attributable to increases in sales volume as opposed to increases in product pricing. The primary factors behind the increase in North American sales volume were related to continued strong triple-digit growth of 137% in traditional channels of trade coupled with an increase in presence in world-class retailers. Additionally, the continued expansion of our DSD network delivered a growth of 172% in our distributor revenues when compared to the prior year quarter.

Moreover, e-commerce grew 79% or \$3.7 million when compared to the prior year quarter. These results were partially offset by some shipping delays related to cans shortages as well as the Texas freeze, we shut down two of our co-packers and one of our warehouses for 2.5 weeks. Furthermore, we estimated that the strengthening of the euro accounted for approximately 8.4% of the increase in European revenue in the 2021 quarter when compared to the prior year quarter.

Gross profit in Q1 increased by approximately \$7.6 million or 58.3% to \$20.6 million from \$13 million for the three months ended March 31, 2020. Gross profit margins declined to 41.1% for the three months ended March 31, 2021, from 46.1% for the prior year quarter. The increase in gross profit dollars, is related to increases in volume, while the decrease in gross profit margins is mainly related to increases in freight costs, repackaging costs, higher raw material costs and higher processing costs. Furthermore, the temporary can shortage has also added incremental costs related to damages in transporting and processing our product, given the added complexities of the supply chain in procuring these items. Based on our estimates, the increase in volume favorably impacted gross profit dollars by approximately \$7.9 million and a favorable currency impact provided an additional \$700,000, which were partially offset by unfavorable increases in costs of approximately \$1 million.

Sales and marketing expenses for the three months ended March 31, 2021, were \$12 million, an increase of \$4.5 million or 60% from \$7.5 million for the three months ended March 31, 2020. This increase was mainly related to marketing investment activities, which were augmented by \$2.5 million when compared to the prior year quarter. Additionally, employee costs increased by \$650,000 from the year ago

quarter as we need to continue to invest in this area in order to have the proper infrastructure to support the commercial growth. Similarly, we experienced increases in other sales expenses in the amount of \$563,000 mainly related to trade marketing activities to support our conversion to the DSD network. Lastly, storage and distribution expenses, as well as broker costs, accounted for the remainder of the increase in this area of \$704,000 when compared to the prior year quarter.

General and administrative expenses for the three months ended March 31, 2021, were \$7.8 million, an increase of \$3.3 million or 73.3% from approximately \$4.5 million for the three months ended March 31, 2020. This increase was mainly related to stock option expense, which amounted to \$3.6 million for the three months ended March 31, 2021, or an increase of \$2.2 million, which accounts for 61.1% of the total increase in this area when compared to the prior year quarter.

Management deems it very important to motivate employees by providing them ownership participation in the business in order to promote overperformance, which translates into the continued success of the company. Additionally, employee costs for the three months ended March 31, 2021, reflected an increase of \$660,000 or 70.2%. As investments in this area are also required to properly service our higher business volume and provide support to the commercial and operational areas of the business.

Administrative expenses amounted to \$2.1 million, an increase of \$460,000 or 28.8% when compared to the prior year quarter. This increase is mainly related to higher legal costs, an increase in the bad debt reserve to cover any potential realization issues, increases in insurance costs and office rent. Depreciation, amortization and all other administrative expenses accounted for the remainder of the variance, which amounted to a net reduction of \$21,000 when compared to the prior year quarter. If we exclude the noncash items, general and administrative expenses would amount to \$15.9 million or would be reduced to 7.8% of net revenues for the quarter.

Total net other expenses for the three months ended March 31, 2021, were \$228,000, which reflects a reduction of \$194,000 when compared to the total net other expenses of \$422,000 for the three months ended March 31, 2020. Net other expenses of \$228,000 for the current quarter are composed of foreign currency exchange losses of \$301,000 and other miscellaneous non-operational expenses of \$13,000, which were partially offset by interest income of \$87,000 related to the note receivable from our China distributor.

As a result of the above, for the three months ended March 31, 2021, net income was \$585,000 or \$0.01 per share based on a weighted average of 72.5 million shares outstanding and dilutive earnings of \$0.01 per share based on a fully diluted weighted average of 76.9 million shares outstanding. In comparison for the three months ended March 31, 2020, the company had net income of approximately \$546,000 or \$0.01 per share based on a weighted average of 69.3 million shares outstanding and dilutive earnings of \$0.01 per share based on a fully dilutive weighted average of 70.3 million shares outstanding.

Adjusted EBITDA for the fourth quarter was basically \$5 million, an increase of \$2.2 million when compared to \$2.8 million in the year ago quarter. We believe this information and comparisons of adjusted EBITDA and other non-GAAP financial measures enhance the overall understanding and visibility of our true business performance. To that effect, the reconciliation of our GAAP results and non-GAAP figures has been included in our earnings release.

Now focusing on liquidity and capital resources. As of March 31, 2021, and December 31, 2020, we had cash of approximately \$31.6 million and \$43.2 million, respectively, and working capital of approximately \$73.6 million and \$64.9 million, respectively, with no long term debt. Cash flows used by operating activities totaled \$13.3 million for the three months ended March 31, 2021. The use of cash during the quarter is mainly related to increases in inventories in the amount of \$19.2 million, as well as \$2.6 million dollars related to prepaid expenses which mainly pertain to the inventory prepayments and inventory in transit, as well as deposits to secure processing time. If we exclude these aspects, operations would have delivered over \$8 million of cash during the quarter.

That concludes our prepared remarks. Operator, you may now open the call for questions. Thank you.

Questions And Answers

Operator

Thank you. (Operator Instructions) Our first question comes from the line of Jeff Van Sinderen with B. Riley & Company. Please proceed with your question.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Let me say first congratulations on amazing metrics in Q1. First question is kind of a multipart question, so if you can go, we appreciate it. Just regarding the overall North American revenue increase, can you speak more about maybe how much of that sequential acceleration in growth do you think was catching up with sell in versus sell through, given the triple digit sell throughs you've been experiencing in some channels? And were there accounts that didn't get as much as they wanted due to production constraints around the can shortage? Is there any pent-up demand around that? And then maybe if you could give us any more color on where you stand now on getting enough cans to satisfy demand?

A - John Fieldly {BIO 17560616 <GO>}

Excellent. Thank you, Jeff. Really appreciate it. The team did an amazing job in the quarter. Answer your question specifically in regards to the revenue sell-in, sell-through in North America, we saw great results up over 100%, 101%. We were not shipping at full capacity through the quarter. So demand was higher. As we indicated on the call, there is a lot of headwinds that we faced in the quarter including in the quarter we talked about wrapping cans, we produce a lot of wrapped cans, they run at slower velocity levels at the co-packers. We were shipping probably roughly

roundabout 80% fill rate. And then we also had challenges with the Texas freeze, also logistics coming out of the Texas freeze for 2.5 weeks.

So in regards to sell-in and sell-out, our sell-in has been somewhat limited in the first quarter due to some of those complexity of our heat line, but our sell-out, it seems to be very strong when we look at the inventory levels at our retailers also at our distributors and the shelf there. So I think we're seeing a correlation and you're also seeing some of the scan data that's out there, when you look at the scan data in regards to the Nielsen and some of the SPINS, as well as the Stackline data we referenced is showing extremely strong demand at the register and the sell-out. So we feel strongly about that, and we think we're in a good position as we head into really Q2 because the latest scan data in April is also very strong.

When you look at the -- regards to the can, the cans that are out there, we strategically moved back in Q4 of 2020 -- really 2020 trying to secure additional cans once our main supplier, our sole supplier for cans informed us we were not be going to be able to achieve our forecasts. Therefore, we have sourced cans from Asia, from Europe, from Canada and working with all a variety of can suppliers. In March, we started to produce Asia cans, we also have our German cans that were produced that are now coming of short, so we have enough cans to secure our volumes for the remainder of the year and planning into 2022 and beyond.

We are expecting to have a mix of imported and US local cans. So until we really get capacity up at as much better level in the US, there is potential we will be wrapping additional cans as well, depending on how these containers come in through the ports. As we all know, we're going through really a container pandemic at the moment with all of with difficult challenges going to the Suez Canal and a variety of other demand component so as the backups at all the port. So there is a lot of complexity as the teams are working through, but we are producing more product in the company ever has. We've plans to produce even more product in the company ever had in Q2, Q3 and beyond. So we think we're in good position and the sellout seems extremely strong.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, great. So in terms of getting back to call it, I guess 100% fill rate, are you getting there? Or maybe just give us a sense of what do you think you can be sort of back at 100% fill rate?

A - John Fieldly {BIO 17560616 <GO>}

Our growth rates on the sell-out at retail, when you look at some of the velocity levels with the Nielsen data and the scan data is extremely strong. We're working to bring our inventory levels up right now to a sustainable level. We're able to meet all demand and likely, probably in the back half of Q2, I think we'll be in a better position to be able to fulfill all orders, but things are changing rapidly. Right now, we're going through some gas shortages with freight and transportation. So that's a big thing this week. I'm trying to get containers move, trucks move, logistics, we're getting feedback that truckers just don't have gas, especially in the Northeast and a variety of other areas. So those are things we're dealing with, our work through that,

we have a great team, very, very passionate team, dedicated team and who are working through this. I have full confidence in the team will be able to drive forward, and we will be able to meet the demand, pull demand towards the back half of Q2 and into Q -- the back half of 2021.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, great. And then if I could just squeeze in one more follow-up. Just wanted to focus on Europe for a moment, any more color you can give us there, I guess on what you expect over the next couple of quarters, including the FAST brand and I think you had some production constraints around FAST?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. That's correct. We had a good growth roughly around 22% growth rate in Europe, when you look at that mainly derived from the Nordic operations when you look at quarter-over-quarter and then sequentially from Q4 to Q1, we saw about a 51% growth rate. So those are good numbers there. They were impacted with COVID pandemic, some shutdowns in the first quarter in Finland and Norway and in Sweden. So there was some difficulty, we also had some supply constraints not with the Celsius portfolio, but with our FAST protein snack portfolio, which impacted the quarter.

Those are getting worked out, I think towards the middle to really the back half of Q2, those will be realized and into the back half of 2021 will get much better inventory levels, but we're working through that. They had a great new successful launch, we talked about in Q4 with a really great new innovative bar, indulgence bar that was very well received in Finland, and we think we're well positioned.

Also, we are bringing the FAST brand to the US in Q2, so look out for that on Amazon in the coming weeks, where we'll be working with our digital teams gaining some traction with an exclusive launch with Amazon there. So things are going well in Europe and we're not out of the woods in COVID restriction go out of things, but full faith and we have a great team over there that's executing.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, good to hear. Thanks for taking my questions, and best of luck.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jeff.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

Operator

Our next question comes from the line of Kamal Shethwala with Credit Suisse. Please proceed with your question.

Q - Kamal Shethwala

Thank you. Hey everybody. A couple of questions I guess on the balance between accepting winning new distribution and supply. It sounds like you've already benefited from some shelf resets. But the real benefits are happening now kind of moving forward in terms of resets. Do you have to delay any of these shelf space gains, maybe even until the April 2022 shelf resets because of limitations on supply?

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Kamal. Great question. With regards to the new distribution resets when it's physically looking at the first quarter, we did add some additional distribution, Murphy USA was a great win for us that gets reset, but the bulk of the distribution in new resets are taking place in that April that May, April timeframe. We are not limited to the new expansion on the resets. We have enough product to fulfill demand. We're working on more inventory, I think a lot of companies were affected with Texas freeze and the shutdowns that took place, so that really impacted us during the quarter. We have more product coming in, we're producing more product than we ever have, we feel we'll be able to meet demand. We are roughly around in Q1, roughly around about 80% fill rate that we experienced. But with the new distribution, with product coming on board in Q2, and we expect to meet the new distribution requirements to fill those new doors and those resets that are coming on board.

Q - Kamal Shethwala

Okay, great. And then a question on the fitness channel. We're seeing some improvements, I suppose, we're seeing a bit of a recovery. Can you maybe give us a read on what you expect it to look like as we come to kind of full reopening maybe just some early indications on what you're seeing at the gyms perhaps to behavior, if it's any different from what the world look like in 2019? And then your strategy obviously within what you intend to do in the channel?

A - John Fieldly {BIO 17560616 <GO>}

Absolutely. Great question, regards. Historically, pre-COVID the fitness channel represented about 25% approximately of our revenue, severely impacted as we all know. We have a great team, a great dedicated team focused on fitness and that is our core. We have great partnerships throughout the industry with key chains and locations and now working hard with those relationships, and we're going to support them, just like we supported them all the way through COVID. And we look to really get forge solid relationships on a go-forward basis.

Right around the fitness channel represented approximately 10% of our revenue in North America. We did see a good growth rate in Q1 about 33% on net revenues. So seeing continual reopenings and growth, we feel very excited talking to our operators in the chains and also our distributors that are focused on fitness, everyone is very excited to really continue to move forward with the reopening of America, the reopening of gyms. It's really pent-up demand that we're seeing. We're seeing -- we're hearing comments about additional sign ups and there seems to be a lot of momentum there. They are nowhere near where they were pre-pandemic,

but it's coming. We're excited about the summer. We think it's going to be a great contributor to us. It is a focus of us. We have teams like I said, that are dedicated to it. And it's a great opportunity, especially for the Celsius portfolio as well.

Q - Kamal Shethwala

Okay, great. Thanks, guys.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Kamal.

Operator

(Operator Instructions) Our next question comes from the line of Jeffrey Cohen with Ladenburg Thalmann. Please proceed with your question.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Hi John, Edwin and Cameron, how are you?

A - Cameron Donahue {BIO 16529132 <GO>}

Hello.

A - John Fieldly {BIO 17560616 <GO>}

Excellent. Jeffrey.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Very well.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Good to hear. So when may we see Tropical Vibe coming, this summer?

A - John Fieldly {BIO 17560616 <GO>}

It is this summer, it's What's Your Vibe for this summer. We had such a great successful launch with our Peach Vibe. We are bringing back another Vibe, it's going to be What's Your Vibe for summer, it's Tropical Vibe, it's actually right now you can pick it up at 7-Eleven, nationwide authorization at 7-Eleven. So go to your local 7-Eleven, you can pick some up. And it tastes amazing great flavor profile, the team did a great job and it disappears here around the office.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Got it, okay. Can you talk about the FAST portfolio? You said it was going to becoming the Amazon in Q2. Can you give us an indication of the number of SKUs you will see?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. We're doing a really a methodical rollout. We are seeing -- what we will see is two SKUs that will be launched on Amazon, initially as an exclusive launch in partnership with them. And then we'll continue to scale the grant from that point. So initial feedback has been very positive on testing, we've been doing a lot of consumer testing, as well as working with Amazon very closely. So we think it's going to be a great addition to the fast-growing protein snacking category, which has a lot of momentum, and we have a lot of interest from a lot of our partners.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Fantastic. Could you talk about the sticks a little bit because of the issues going on with the cans and the sticks picked up some share from your standpoint on the growth side in the aggregate numbers?

A - John Fieldly {BIO 17560616 <GO>}

As additional line extension, it also expanded usage occasion. There are counter products overall represent an immaterial portion of our top line revenue number. But they are growing. We're seeing a lot of growth and we're also seeing a lot of interest from retailers mainly vitamin specialty and online, but now we're seeing interest from CVS, Publix and Walmart and several other customers as well, where they're looking to carry to sticks as additional offerings and so there is a lot of opportunity there. We have come out with new flavors. We got a lot of different flavors planned in the pipeline and the feedback is extremely positive on our powder products and also looking at opportunities potentially to expand our heat portfolio and our heat offerings into a cutter on the go option as well. So getting interest there, but the bulk of our revenue today is those RTDs.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Got it. And then lastly from me, if you could provide any commentary, I know we've got a fair amount of data on the ordering trends, but could you give us any flavor from what you're sensing as far as new customer, new customer acquisitions, reordering, stickiness of current customers out there, that would be helpful? Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Excellent, Jeffrey. The stickiness of existing customers has been extremely positive. As many of us on the call know, we are very passionate about Celsius. Our consumers and let's speak to many of you and it's the sticking power of the brand is incredible. We're seeing that you go back to even 7-Eleven, we're launching our Tropical Vibe with them, as we speak. And we've been with them for over -- going on 4.5, 5 years now and many of our retail partners. So we continue to gain more shelf space, better placements in stores, cold availability. So we're really excited in regards to the new distribution coming on. We're up to 192,000 locations today, will be far north of 100,000 locations by the end of this year for sure. So lots of interest, we're also getting a lot of good new team members joining our team as we continue to scale and grow and bringing great relationships that will be able to further leverage.

Q - Jeffrey S. Cohen {BIO 15765438 <GO>}

Super. Thank you very much for taking the questions. Great quarter.

A - John Fieldly {BIO 17560616 <GO>}

Thank you. Jeffrey.

A - Edwin F. Negrón-Carballo {BIO 20717398 <GO>}

Thank you.

Operator

Our next question comes from the line of Anthony Vendetti with Maxim Group. Please proceed with your question.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Thanks. I guess, just in terms of DSD, John, you guys have made a huge push into the DSD network, understanding that not every market is amenable or not every store, every market can be a DSD depending on where that market is. Can you give us a general idea of what is the maximum penetration you see in your current customer base? Where could you get to an approximately where are you at in terms of the percentage penetration?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Thank you, Anthony. We are very much focused on DSD, just with the velocity levels that we see at retail and the demand for the brand, you have to build this company on a DSD national network. As we were seeing in 2019, you just can't keep it in stock. We're in too high of a velocity category. So we've been building out our national DSD network. We're in about 85% major metropolitan markets. We have closed additional distributors. To close those gaps, to be able to transition our key accounts over to DSD and as we speak, we are expanding on the West Coast as an example, 7-Elevens, almost 1,500 -- actually almost 2,000 7-Elevens are being migrated over to DSD as we speak. And we'll be doing further in division by division also working with CVS, further Targets and all of our major retailers.

So we would like to see a big significant portion of our distribution service through DSD, and we're committed on that. We haven't provided percentages of where that is. But over time, I would like to see a considerable percentage of our retailers serviced by DSDs, better placement, better in-stocks, better execution and much importantly, better velocity and better revenues.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Makes sense. Okay, good. And then just on the aluminum can shortage because this has come up on other conference calls for companies that are in your situation. Based, I guess, on your earlier comments, you're expecting it, did you say, by the end of this year for that shortage to be alleviated? I guess, is it because of the ramp

in US production? Or can you just give us a little more color on your expectations there?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Absolutely, so what's happening in the industry is that just due to the increase in demand for cans, the US manufacturers just do not have the capacity. So you heard Rodney Sacks on the Monster call, most recently, every brand is running into, every company in the can business, in the beverage business is running into the same issues. There's just not enough capacity out there. All the major players are adding capacity lines. Unfortunately, it just takes time to put these lines in. We expect some of the production in the capacity will come on towards the back half of 2021, we're hearing and into 2022 and beyond, but it's going to take time to ramp that up.

The other thing is what happens as the country continues to open, do consumers go back to on-premise which found and demand for cans goes down, that's all to be determined. So that's a fluctuation that could come into play here, where we could source more US cans at a quicker timeframe. But right now, we are secured with international cans and US cans, domestic cans to meet our forecast demands and our internal expectations for 2021 and into 2022 and beyond, we have secured those. So now it's a matter of mix and how we move forward in regards to our margin profile. We talked about in Q1 our 41% gross profit mainly that's derived, we had a lot of wrapped cans, we also had a lot of rework during the quarter and increases in transportation. So we'll continue to optimize that with non-wrapped cans, which are better for our margins. And then but we'll have that mix from international and domestic, which will optimize as we go forward.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay, great. And then just the last question on the international sales. I know you said you're looking to expand in Europe. But can you also talk about the Middle East as well? What's your expectation for that expansion by the end of this year and moving into 2022?

A - John Fieldly {BIO 17560616 <GO>}

We're working potentially the UK and Germany, that's an area we've been focused on and exploring we're talking to potential distributors. We don't have a timeline for that. But it is an area of opportunity for us that the team has been focused on. Also you mentioned the Middle East, we do have a distributor locally in the Middle East, and we're working with several others on an import basis. But it's all timing and sequencing at this point and COVID has impacted a lot of that -- some of these discussions. But we are in discussions and things are moving forward.

Edwin, you wanted to make a comment as well?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yeah. I was just going to say, John, to me, the key is that we limit the footprint as much as possible, and we use the model going through distributors so that we

minimize the risk, including currency risks and so forth. And that, to me, that's been the successful model, hopefully we can continue to expand using that model.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay, great. And once again, thanks for clarifying the internal control. I think there is a good way to kick off the call to put that question to rest. So appreciate that, and I'll turn it back over to queue. Thanks, guys.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Anthony.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you.

Operator

Our next question is a follow-up question from the line of Kamal Shethwala with Credit Suisse. Please proceed with your question.

Q - Kamal Shethwala

Thanks for taking a second one, guys. On international, when you think about the international rollout, can you talk a bit about the marketing and your marketing intention? It sounds like you're looking to get into new regions and such, maybe more aggressively than you would have discussed 6 to 12 months ago and obviously, they don't have to have a bit of a marketing overlay on that. So can you talk about what the plans are? And ideally, if you can, what sort of investment, the investment would look like?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. Kamal, thank you. As we mentioned, we're going through more of a distributor model, where we're importing, and we allow the collaborative effort with the margins that are generated through the sales, as well as our support as well. It will be fairly limited initially, it is a more methodical rollout that we are strategic approach as we enter a market. We don't have plans to invest heavily ahead of revenue in any of these markets. So we will be sticking with our positive ROI driven model that we've indicated on many calls and over the last several years. So we're looking for positive ROI investments as we go forward, some of the initial relationships there could be in regards to the margins and both contributing, there could be some investments, but it will be generally immaterial.

Q - Kamal Shethwala

Okay, great. Thank you.

Operator

If there are no further questions, I'd like to hand the call back to management for closing remarks.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

On behalf of the company, we'd like to thank everyone for their continued interest and support. Our results demonstrate our products are gaining considerable momentum. We are capitalizing on today's global health and wellness trends in the transformation taking place in today's energy drink category. Our active lifestyle position is a global position with mass appeal. We're building upon our core and leveraging opportunities and deploying best practices. We have a winning portfolio, strategy and team and a large rapidly growing market that consumers want.

Our mission is to get Celsius to more consumers profitably. I'm very proud of our dedicated team, as without them, our tremendous achievements and the significant opportunities we see ahead would not be possible. We believe we'll be able to navigate through the challenges ahead as a result of the COVID-19 pandemic. And we are well positioned to thrive in the transformation of today's energy drink category. In addition, I thank our investors for their continued support and confidence in our team.

Thank you, everyone, for your interest in Celsius. Be safe, stay healthy, and have a great day.

Operator

Ladies and gentlemen, this does conclude today's teleconference. Thank you for your participation. You may disconnect your lines at this time, and have a wonderful day.

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